Report

Problem Statement

- Total sales are on the declining: average revenue decreases approximately 865 units per month. This decline is due to two key issues:
- (1) significant month-to-month sales driven by seasonality and (2) limited and uneven customer engagement.
- Customers responding to multiple campaigns generate significantly higher average revenue, however, the majority of customers remain unresponsive, limiting overall sales growth.
- Customer response data reveals peak effectiveness at single ad exposures, diminishing returns and possible ad fatigue as exposure increases.
- These factors indicate the current marketing strategy struggles to expand its engaged customer base and fails to fully capitalise on high-value segments, limiting revenue growth.

Five whys

1. Why is monthly revenue declining? Because fewer products are being sold.

2. Why are fewer products being sold? Because customer engagement and purchase frequency are decreasing.

3. Why is customer engagement decreasing? Because most customers are unresponsive to campaigns, limiting sales volume, while only a small engaged group drives higher revenue.

4. Why are many customers unresponsive? Due to ad fatigue, ineffective targeting, and lack of personalisation, causing reduced campaign impact.

5. Why is the marketing strategy failing to target effectively? Because it does not leverage customer data well enough to personalise messaging and optimise campaign frequency by segments.

Marketing campaign analysis report

Revenue Metrics

- **Total revenue:** 1 345279
- **Average revenue per customer:** 607.08
- **Top 10% customers spending range:** 1536 – 2525

Revenue by country

Country	Revenue	% of Total Revenue
Spain	659,557	49.03%
South Africa	211,281	15.69%

Canada	167,370	12.44%
Australia	85,514	6.36%
India	77,787	5.78%
Germany	73,177	5.44%
United States	67,469	5.02%
Montenegro	3,100	0.23%

Spain contributed almost half of the total revenue, making it the **priority market**.

Ad channel performance

Channel	Responders	Total Revenue	Average Revenue per Responder	Rank
Instagram	91	149,664	1,644.66	1
Facebook	79	122,611	1,552.35	2
Brochure	20	27,657	1,382.85	3
Twitter	62	83,790	1,351.69	4
Bulk Mail	77	65,392	849.23	5

Instagram generated the **highest revenue per responder** while Bulk Mail performed lowest in efficiency.

Preferred ad channel by country

Country	Top channel	2nd	3rd	4th	5th
Australia	Instagram	Bulk Mail	Facebook	Twitter	Brochure
Canada	Instagram	Facebook	Twitter	Bulk Mail	Brochure
Germany	Bulk Mail	Facebook	Instagram	Twitter	Brochure
India	Bulk Mail / Twitter / Instagram / Facebook (tie)	–	–	–	Brochure
Montenegro	Bulk Mail	–	–	–	–

South Africa	Instagram	Facebook	Bulk Mail	Twitter	Brochure
Spain	Instagram	Facebook	Bulk Mail	Twitter	Brochure
United States	Instagram	Twitter / Facebook / Bulk Mail (tie)	–	–	Brochure

- Instagram is the **most preferred channel in most countries**.
- Bulk Mail still important in Germany, India, Montenegro.

Customer demographics and ad response

Age group response to Instagram:

Age group	Responders
51-61	106
40-50	88
62-72	72
Senior	35
29-39	32

Older customers (40+) dominate Instagram responses.

Education level response:

Level	Responders	% Response
PhD	481	34%
Graduation	1,116	30%
Master	365	28%
2nd Cycle	200	25%
Basic	54	11%

'Graduation' has more total responders than 'PhD' (1,116 vs 481), even though the % response is lower.

Marital Status Response:

Group	Total spending
Single	105,363
Married	94,882
Together	60,605
Divorced	47,719
Widow	17,967
Other	1,640

Single customers spent the most, followed by **Married**. **Focus campaigns on Single and Married groups** as they generate the highest revenue.

High-Income customers not responding: 471

- **Number of customers above 75% income quantile:** 281
- **Observation:** These are important **untapped potential**; may require targeted campaigns.

Ad engagement levels

Engagement level	Number of customers	Average spending	Total spending
No engagement	1,611	460.19	741,373
Low engagement 1-2	508	891.11	452,686
High engagement >3	97	1,558.97	151,220

Customers with **higher ad engagement spend more on average** revenue despite small numbers.

Revenue contribution by number of ads responded

Response type	Number of customers	Average revenue	Total revenue
Responded to least 4 ads	10	1,514	15,140
Responded to one or more ads	2,206	602.96	1,330,139

Observation: Responding to multiple ads correlates with higher average revenue per customer.

Customers spending above country average

- **Above-country-average spenders:** 907 identified
- Important segment for **targeted promotions and loyalty campaigns**.

Key Insights and Recommendations

Country focus: Spain drives ~50% of revenue; prioritise campaigns in Spain.

Ad channel optimisation:

- Instagram is the top-performing and highest revenue per responder.
- Facebook should be prioritised secondly.
- Bulk mail generated the lowest revenue, consider reducing spend on advertising.

Customer targeting:

- Older age groups (40+) respond more to Instagram ads.
- PhD and Graduation level have higher engagement.
- Singles are the largest responding marital group

High-income untapped potential: 281 customers above 75% income quantile did not respond to ads, should be targeted separately.

Ad engagement strategy:

- Focus on increasing **multi-ad engagement**, since high engagement leads to higher revenue.

Top 10% customers: should be prioritised for premium campaigns / loyalty programmes.

Country-specific channel preference: Customise campaigns per country (eg, Instagram in Australia, Bulk mail in Germany).